

HOUSE BILL No. 1043

DIGEST OF INTRODUCED BILL

Citations Affected: IC 14-8-2-64.5; IC 14-25-18.

Synopsis: Data center water regulation. Defines "data center". Prohibits a person from operating a data center in Indiana without obtaining a consumption permit from the department of natural resources (department). Sets forth information that must be included in a consumption permit application. Establishes procedures for the department to approve or deny a consumption permit application. Provides that a consumption permit may be transferred under certain circumstances. Provides that a person may consult with the department to assess the viability of a proposed data center with respect to water consumption. Allows the natural resources commission to adopt rules to implement this bill.

Effective: July 1, 2026.

Burton

December 2, 2025, read first time and referred to Committee on Natural Resources.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1043

A BILL FOR AN ACT to amend the Indiana Code concerning natural and cultural resources.

Be it enacted by the General Assembly of the State of Indiana:

1 SECTION 1. IC 14-8-2-64.5 IS ADDED TO THE INDIANA CODE
2 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
3 1, 2026]: **Sec. 64.5. "Data center", for purposes of IC 14-25-18,**
4 **means a facility:**

5 **(1) the primary services of which are the storage,**
6 **management, and processing of digital data;**

7 **(2) that is used to house:**

8 **(A) computer and network systems, including associated**
9 **components, such as servers, network equipment and**

10 **appliances, telecommunications, and data storage systems;**

11 **(B) systems for monitoring and managing infrastructure**
12 **performance;**

13 **(C) Internet related equipment and services;**

14 **(D) data communications connections;**

15 **(E) environmental controls;**

16 **(F) fire protection systems; and**

17 **(G) security systems and services; and**



(3) that has the capability of consuming at least ten million (10,000,000) gallons of water in one (1) month.

SECTION 2. IC 14-25-18 IS ADDED TO THE INDIANA CODE AS A NEW CHAPTER TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]:

Chapter 18. Data Center Water Regulation

Sec. 1. A person may not operate a data center in Indiana without obtaining a consumption permit from the department. A person must obtain a new consumption permit for each data center operated by the person.

Sec. 2. (a) A person may consult with the department to evaluate the viability of a proposed data center with respect to water consumption.

(b) Upon request of a person described in subsection (a), the department shall provide a written evaluation of a proposed data center with respect to water consumption.

(c) If a person requests a written evaluation under subsection (b), the department may request information and documents related to the proposed data center from the person, including:

(1) a description of the project;

(2) the project's estimated:

(A) water use rates; and

(B) volumes for the:

(i) maximum day;

(ii) maximum month; and

(iii) average year; and

(3) the anticipated source of water.

(d) Information and documents exchanged under this section are confidential.

Sec. 3. (a) A person may apply to the department for a consumption permit in a form and manner prescribed by the department.

(b) An application under subsection (a) must include the following:

(1) An application fee, as determined by the department.

(2) The signature of the applicant.

(3) A statement verifying that the information submitted is true, accurate, and complete to the best of the applicant's knowledge.

(4) A description of the data center.

(5) The data center's estimated:

(A) water use rates; and



(B) volumes for the:

- (i) maximum day;
- (ii) maximum month; and
- (iii) average year.

(6) The data center's anticipated source of water.

(7) Information demonstrating that the data center will protect the public health, safety, and welfare.

(8) Information demonstrating that the data center will utilize technologies or measures to promote:

(A) water conservation; and

(B) watershed health.

(c) An application fee paid under this section is not refundable by the department.

(d) For purposes of subsection (b), technologies or measures that promote water conservation and watershed health include:

- (1) water efficient fixtures and practices;
- (2) recycling water before discharge;
- (3) partnering with local water utilities to use discharged water from the data center;
- (4) using reclaimed water;
- (5) installing closed loop systems; and
- (6) supporting water restoration and replenishment in local watersheds.

Sec. 4. (a) The department shall review an application submitted under section 3 of this chapter. If the department determines that the application submitted under section 3 of this chapter is complete, the department shall notify the applicant.

(b) The department shall return an application to the applicant if the department determines that the application is incomplete, inaccurate, or both.

(c) If the department returns an application to an applicant under subsection (b), the department shall inform the applicant in writing that the applicant may file a corrected application not more than sixty (60) days after the receipt of the returned application.

(d) Not later than ninety (90) days after notifying the applicant of a complete application as described in subsection (a), the department shall approve or deny the application.

Sec. 5. The department may not approve an application if the data center that is the subject of the application will:

- (1) injure the public health, safety, and welfare; or
- (2) impair:



- 1 (A) water conservation; or
- 2 (B) watershed health.

3 Sec. 6. If the department approves an application, the
4 department shall issue to the applicant a consumption permit.

5 Sec. 7. A consumption permit may be transferred or assigned
6 from a person that operates a data center to another person that
7 intends to operate the data center.

8 Sec. 8. The commission may adopt rules under IC 4-22-2 to
9 implement this chapter.

